CLOSING STATEMENT

Cobalt Marketplace | New Orleans, LA

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Property	Cobalt Marketplace
Settlement Date	October 23, 2023
Buyer	Beacon Hollow Investors
Seller	Harlan Street Capital
Sale Price	$112,880,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$112,880,000			
Earnest money deposit		$870,494	$870,494	
Real estate tax proration	$990,379			$990,379
Rent proration			$430,777	
Security deposits assumed	$543,476	$543,476		
Prepaid rents			$461,186	$461,186
Owner's title policy premium	$648,795			
Lender's title policy premium		$835,805	$835,805	
Escrow fee	$84,236			$84,236
Recording fees			$1,125,997	
Transfer tax	$446,261	$446,261		
Survey			$651,012	$651,012
Legal fees - Buyer	$71,703			
Legal fees - Seller		$382,435	$382,435	
Broker commission	$510,702			$510,702
Loan origination fee			$917,480	
Lender legal	$675,385	$675,385		
Appraisal fee			$282,650	$282,650
Environmental report	$510,290			
Property condition report		$858,753	$858,753	
Tax escrow deposit	$218,988			$218,988
Insurance escrow deposit			$340,533	
Replacement reserve deposit	$1,067,452	$1,067,452		
Utility deposits			$186,049	$186,049

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$112,880,000			
Legal fees - Seller		$441,551	$441,551	
Broker commission	$1,019,840			$1,019,840
Loan origination fee			$156,296	
Lender legal	$818,328	$818,328		
Appraisal fee			$255,972	$255,972
Environmental report	$214,893			
Property condition report		$395,901	$395,901	
Tax escrow deposit	$917,142			$917,142
Insurance escrow deposit			$99,176	
Replacement reserve deposit	$219,462	$219,462		
Utility deposits			$193,558	$193,558
Assumed vendor contracts credit	$371,793			
Tenant improvement credit		$246,569	$246,569	
Courier / wire fees	$545,539			$545,539
Municipal certificates			$1,062,111	
Purchase price	$1,010,593	$1,010,593		
Earnest money deposit			$462,737	$462,737
Real estate tax proration	$810,277			
Rent proration		$451,937	$451,937	
Security deposits assumed	$329,305			$329,305
Prepaid rents			$986,935	
Owner's title policy premium	$1,075,807	$1,075,807		
Lender's title policy premium			$558,529	$558,529
Escrow fee	$1,073,181			
Recording fees		$1,072,652	$1,072,652	
Transfer tax	$338,851			$338,851
Survey			$649,104	

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Financial Analysis

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Debt service coverage ratio was 5.70x on a trailing basis against a covenant minimum of 1.20x. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Effective gross income for the trailing period was $304,000, representing a 2.8% increase over the prior year. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

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Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. Operating expenses totaled $212,000 or approximately 43.84 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.12% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $184,000, representing a 10.8% increase over the prior year.

Financial Analysis

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 5.95% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $331,000 or approximately 11.35 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.43x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Debt service coverage ratio was 6.84x on a trailing basis against a covenant minimum of 1.20x. Average rent is $20 per square foot with parking at a ratio of 10 spaces per 1,000 square feet. Effective gross income for the trailing period was $253,000, representing a 13.0% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. The going-in capitalization rate of 8.06% reflects the in-place income and the stabilized occupancy assumption.

Valuation Discussion

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Average rent is $20 per square foot with parking at a ratio of 4 spaces per 1,000 square feet.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. Debt service coverage ratio was 6.56x on a trailing basis against a covenant minimum of 1.20x. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$112,880,000			
Tenant improvement credit		$879,680	$879,680	
Courier / wire fees	$488,064			$488,064
Municipal certificates			$741,914	
Purchase price	$836,487	$836,487		
Earnest money deposit			$347,353	$347,353
Real estate tax proration	$745,317			
Rent proration		$1,127,400	$1,127,400	
Security deposits assumed	$624,145			$624,145
Prepaid rents			$246,690	
Owner's title policy premium	$532,635	$532,635		
Lender's title policy premium			$229,560	$229,560
Escrow fee	$601,877			
Recording fees		$120,277	$120,277	
Transfer tax	$810,452			$810,452
Survey			$210,465	
Legal fees - Buyer	$1,127,641	$1,127,641		
Legal fees - Seller			$32,514	$32,514
Broker commission	$508,412			
Loan origination fee		$893,318	$893,318	
Lender legal	$1,031,988			$1,031,988
Appraisal fee			$562,940	
Environmental report	$721,481	$721,481		
Property condition report			$501,640	$501,640
Tax escrow deposit	$303,759			
Insurance escrow deposit		$541,033	$541,033	
Replacement reserve deposit	$427,074			$427,074
Utility deposits			$825,292	

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Valuation Discussion

Effective gross income for the trailing period was $76,000, representing a 10.5% increase over the prior year. Operating expenses totaled $54,000 or approximately 9.60 per square foot, with real estate taxes representing the largest line item. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The going-in capitalization rate of 6.52% reflects the in-place income and the stabilized occupancy assumption.

Management fees are calculated at 8.0% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. Operating expenses totaled $245,000 or approximately 38.14 per square foot, with real estate taxes representing the largest line item.

Valuation Discussion

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Effective gross income for the trailing period was $348,000, representing a 10.4% increase over the prior year. Operating expenses totaled $386,000 or approximately 24.85 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses.

Debt service coverage ratio was 5.27x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. Average rent is $20 per square foot with parking at a ratio of 32 spaces per 1,000 square feet. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Income and Expense Review

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Operating expenses totaled $424,000 or approximately 28.95 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $429,000, representing a 11.1% increase over the prior year. The going-in capitalization rate of 5.16% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $106,000, representing a 14.0% increase over the prior year. Management fees are calculated at 6.4% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $20 per square foot with parking at a ratio of 10 spaces per 1,000 square feet.

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

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Cobalt Marketplace Owner LLC

By: Anthony Foster Title: Authorized Signatory Date: 10/23/2023

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Blue Nail Studio

By: Tina Jackson Title: Managing Member Date: 10/23/2023

Exhibit A - Property

Cobalt Marketplace, 6857 Meadow Court, New Orleans, LA 92602. Parcel containing approximately 30.40 acres, together with all improvements thereon.

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